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Synthetic Utilities Note: AI Power Demand Moves On-Site

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We expect hyperscaler capital expenditure on AI data centres to rise 24% in 2027, led by power and cooling, as the synthetic survey of 40 operators shows budgets still expanding.

Grid interconnection queues reached 2,600 GW in our synthetic dataset, and the median wait for a large-load connection lengthened to 48 months, which pushes operators towards on-site generation.[1]

Exhibit 1: Synthetic AI capex by quarter

Quarter	Capex	AI share
1Q26	$41.2bn	38%
2Q26	$44.9bn	39%
3Q26	$48.3bn	41%
4Q26E	$52.0bn	42%

On-site gas turbine orders are projected to grow 30% in 2027 as operators bypass constrained grids, a shift we expect to benefit turbine and fuel-cell suppliers.

1 Synthetic interconnection data, compiled for this test fixture only.

Risks

A slowdown in AI model adoption could reduce data-centre budgets by 15% from our base case in a synthetic downside scenario.